

7-4b Using the Bank Statement as a Control over Cash

The bank statement is a primary control that a company uses over cash. A company uses the bank's statement by comparing the company's record of cash transactions to those recorded by the bank.

The cash balance shown by a bank statement is usually different from the company's cash balance, as shown in [Exhibit 11](#) for [Power Networking](#).

Exhibit 11

Power Networking's Bank Statement and Records

Bank Statement		
Beginning balance		\$ 4,218.60
Additions:		
Deposits	\$ 13,749.75	
Miscellaneous	408.00	14,157.75
Deductions:		
Checks	\$(14,698.57)	
NSF check	(300.00)	
Service charge	(18.00)	(15,016.57)
Ending balance		<u>\$ 3,359.78</u>

Power Networking Records	
Beginning balance	\$ 4,227.60
Deposits	14,565.95
Checks	(16,243.56)
Ending balance	<u>\$ 2,549.99</u>

Power Networking should determine the reason for the difference in these two amounts.

Differences between the company balance and bank balance may arise because of a delay by either the company or bank in recording transactions. For example, there is normally a time lag of one or more days between the date a check is written and the date that it is paid by the bank. Likewise, there is normally a time lag between when the company mails a deposit to the bank (or uses the night depository) and when the bank receives and records the deposit.

Business Insight

Bank Error in Your Favor (or Maybe Not)

A New Zealand couple expected a \$100,000 deposit into their checking account, but discovered the bank accidentally deposited \$10,000,000. The couple immediately transferred the \$10,000,000 to another account and left the country, hoping to cash in on this supposed windfall. Not surprisingly, they were found, arrested, and prosecuted for fraud. So, if you find a bank error in your favor, it really isn't like getting a Monopoly card. You cannot keep the cash, but must return it to the bank. Banks typically have a long time to correct such errors, and if it can be reasonably determined that you knew of the error, but failed to report it, you could be prosecuted for bank fraud.

Differences may also arise because the bank has debited or credited the company's account for transactions that the company will not know about until the bank statement is received. Finally, differences may arise from errors made by either the company or the bank. For example, the company may incorrectly post to Cash a check written for \$4,500 as \$450. Likewise, a bank may incorrectly record the amount of a check.

Chapter 7: Internal Control and Cash: 7-4b Using the Bank Statement as a Control over Cash

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